

Seagate Technology Holdings plc

NASDAQ: STX | Sector: Information Technology | Sub-sector: Data Storage / Hard Disk Drives (HDD)
Institutional Equity Research | Report date: 03 June 2026 | Senior Analyst (Technology Hardware Desk)

RATING	12-MONTH TARGET	CMP (03-Jun-26)	IMPLIED RETURN
REDUCE	\$780	\$940.69	-17.1%
Market Cap	\$212.83 B	Enterprise Value	\$216.43 B
52-Week High / Low	\$966.80 / \$118.75	52-Week Price Change	+689.5%
P/E (TTM)	87.8x	Forward P/E	38.7x
P/Sales (TTM)	19.4x	EV / EBITDA (TTM)	61.6x
Price / Book	189.9x	Book Value / Share	\$4.88
ROCE / ROIC (TTM)	57.5% / 69.1%	ROE (TTM)	n/m (eq. ~0)
Dividend / Yield	\$2.96 / 0.31%	Payout Ratio	27.8%
Net Debt / Total Debt	\$3.03 B / \$4.18 B	Debt / Equity	3.82x
Interest Coverage	11.0x	Current / Quick Ratio	1.33x / 0.77x
Beta (5Y) / RSI	2.08 / 79.3	Shares Out / Float	226.3 M / 225.6 M
Institutional Own.	85.5%	Insider Own.	0.23%
Consensus (24 an.)	BUY @ \$829.05	Cons. vs Spot	-11.9%

INVESTMENT THESIS (one line): A world-class HDD franchise riding a genuine AI-storage supercycle — but at \$940 / 88x trailing the stock has overshot even the bull case. Book gains.

Horizon: 12 months. All financials sourced character-for-character from stockanalysis.com (income/BS/CF/ratios/overview/statistics), fetched 03-Jun-2026. Quote dated Jun 3 2026, 4:00pm EDT.
Currency: US\$ millions unless stated. FY ends late June (FY2025 ended 27-Jun-2025; Q3 FY2026 ended 03-Apr-2026). (E) = estimate, grounded in company Q4-FY26 guidance + Street consensus.

2. INVESTMENT THESIS

- **Reason 1 — Structural AI-driven nearline demand, not a normal cycle:** Hyperscaler nearline capacity is sold out through calendar 2026 and contractually allocated through 2027 under build-to-order agreements. On the Q3-FY26 call (Apr 2026) CEO Dave Mosley **raised the long-term annual revenue growth target to “a minimum of 20%”** (from prior “low-to-mid teens”). Nearline exabytes shipped rose ~31% YoY with average drive capacity up 22% to ~23TB.
- **Reason 2 — Defensible HAMR technology lead with a long roadmap:** Mozaic 4+ (HAMR, up to 44TB) is qualified, in volume production and shipping to two leading hyperscale clouds; the platform roadmap scales from ~4TB/platter today toward 10TB/platter and 100TB drives. HDD remains 5-7x cheaper per TB than QLC SSD for cold/nearline data, protecting Seagate's franchise within a 2-player rational duopoly (with Western Digital).
- **Reason 3 — Margin and free-cash-flow inflection, with deleveraging:** GAAP gross margin hit a record 46.5% in Q3-FY26 (vs 18.3% trough in FY23); TTM operating margin is 28.2% and TTM FCF reached \$2.41 B (+195% YoY). Shareholders' equity turned positive (+\$1.10 B) for the first time in years and net debt fell to \$2.7 B from \$4.7 B (FY23) as the company retired ~\$2.6 B of debt over the last 12 months.
- **Near-term catalyst (6–12 months):** The fiscal Q4-FY26 print (guided revenue \$3.45 B ±\$100m; non-GAAP EPS \$5.00 ±\$0.20) and the FY2027 build-to-order / pricing commentary. Both are likely beats — but with the stock already +690% in 12 months, the bar is set so high that even strong results may not move the price up.
- **Biggest structural risk — the stock, not the business:** At 87.8x trailing / 38.7x forward earnings, 19.4x sales and 61.6x EV/EBITDA, the market is pricing the current supply-constrained pricing peak as permanent. HDD is historically cyclical; QLC SSD substitution, hyperscaler capex normalization, or supply additions from Seagate/WDC would mean-revert pricing power. The 24-analyst consensus target (\$829) already sits 11.9% BELOW spot.

3. BUSINESS OVERVIEW

- **Core business:** Seagate is the world's largest manufacturer of hard disk drives (HDDs) by exabytes shipped, alongside Western Digital in a consolidated 2-player mass-capacity duopoly. It designs and builds data-storage devices — principally high-capacity nearline drives for cloud/enterprise data centers — plus a smaller systems (Lyve / enterprise storage) and legacy edge/consumer business.
- **Revenue mix:** Mass-capacity (nearline + VIA) drives the overwhelming majority of revenue; the secular growth engine is hyperscale/cloud nearline. Legacy markets (desktop, notebook, consumer, mission-critical) are in structural decline and now a minority of the mix. By geography, Asia-Pacific is the largest manufacturing and demand region, with the Americas and EMEA the balance.
- **Customers & visibility:** A handful of large hyperscale cloud providers dominate demand — concentration is high but visibility is now exceptional. Build-to-order long-term agreements have been finalized for fiscal 2027, with management stating the “vast majority” of nearline capacity is allocated over the next four quarters. Industry lead times have stretched from a few weeks to 52+ weeks.
- **Order book / supply:** The HDD industry is effectively sold out into 2027. Seagate and the wider industry have not added wafer/media capacity for years, so the demand surge is meeting a fixed supply base — the source of today's pricing power and record margins.
- **Recent strategic developments (last 12 months):** Volume ramp of HAMR-based Mozaic 3+ then Mozaic 4+ (44TB) to two hyperscalers; conversion of the manufacturing base toward HAMR; aggressive debt reduction (~\$2.6 B retired TTM); reinstatement of meaningful FCF return; and the upgraded “≥20% revenue growth” long-term framework.
- **Ownership:** Seagate is an Irish-domiciled, widely-held public company with no promoter/controlling shareholder. Institutions own ~85.5% of shares; insiders ~0.23%. The CEO is Dave Mosley (Seagate veteran, CEO since 2017); CFO Gianluca Romano. There is no “promoter pledge” concept (US/Irish issuer).

4. INDUSTRY & COMPETITIVE LANDSCAPE

- **Market & growth:** Total HDD industry exabyte shipments surpassed ~450 EB by late 2025 and continue to climb, driven almost entirely by mass-capacity nearline for cloud/AI. The shift from periodic AI training to always-on inference is generating and retaining vast multimodal data sets that must live on cost-efficient storage

— the structural tailwind underpinning management's ≥~20% revenue growth view over the next few years.

• **Policy / structural tailwinds:** AI data-center build-out (hyperscaler capex super-cycle) and data-gravity / retention requirements. **Headwinds:** HDD's long-run displacement risk from high-capacity QLC NAND SSDs, plus the inherent cyclical nature of a hardware industry whose pricing power depends on supply discipline holding.

• **Competitive moat (rated):** Scale — **Strong** (largest HDD maker, fixed industry capacity). Technology/IP — **Strong** (HAMR/Mozaic lead, areal-density roadmap to 100TB). Switching costs — **Moderate** (qualification cycles + LTAs lock in hyperscalers). Pricing power — **Strong but cyclical** (rational duopoly + sold-out supply today; structurally Moderate). Distribution — **Moderate**.

• **Value-chain position:** Seagate is an upstream/midstream vertically-integrated component manufacturer (media, heads, drives) selling into cloud OEM/ODM and hyperscaler supply chains — not a solutions/software vendor, which caps multiple versus enterprise-storage software peers but gives unmatched cost-per-TB.

Top competitors (stockanalysis.com, fetched 03-Jun-2026; TTM figures):

Competitor	CMP	Market Cap	TTM Revenue	ROCE
Western Digital (WDC)	\$594.11	\$204.78 B	\$11.78 B	35.4%
Micron Technology (MU)	\$1,079.57	\$1.20 T	\$58.12 B	32.3%
NetApp (NTAP)	\$181.08	\$35.74 B	\$6.93 B	25.2%
Seagate (STX)	\$940.69	\$212.83 B	\$11.01 B	57.5%

WDC is the only direct HDD comparable (pure-play HDD post-SanDisk separation). MU = memory/storage scale leader; NTAP = enterprise storage systems.

5. MANAGEMENT QUALITY & CAPITAL ALLOCATION

• **Leadership:** CEO Dave Mosley (Seagate engineer-turned-CEO since 2017, ~25-year tenure) and CFO Gianluca Romano are a stable, operationally-credible team that navigated the brutal FY23 downturn (revenue -37%, operating loss) and is now executing the HAMR transition and supply-discipline strategy. Tone on the Q3-FY26 call was confidently bullish but grounded in booked orders, not hope.

• **Capital allocation track record — the key debate:** Historically Seagate was an aggressive buyback machine — it repurchased so much stock (e.g. ~\$2.0 B in FY22, ~\$2.0 B FY21) that book equity went deeply NEGATIVE (–\$1.5 B at FY24). That juiced per-share metrics in good years but left the balance sheet fragile entering the downturn. This is a genuine governance/quality caveat.

• **Recent pivot is prudent:** Through the upcycle management has prioritised **debt reduction over buybacks** — ~\$2.6 B of debt retired in the TTM, net debt down to \$2.7 B, and equity restored to +\$1.10 B. Buybacks have been minimal (\$59m TTM). This is the right call given the cyclical nature, and improves downside resilience.

• **Dividend:** \$2.96/share annualised (yield just 0.31% given the share-price spike); payout ratio a comfortable 27.8% of TTM earnings; modest 2.8% YoY growth. The dividend was held flat through the FY23/24 trough even when payout exceeded 100% — signalling commitment but also past balance-sheet stress.

• **SBC & buybacks:** Stock-based comp is rising (\$218m TTM vs \$115m in FY23) — worth monitoring as a real cost. Net buyback yield is currently negative (-3.3%) i.e. shares outstanding are drifting UP (+3.3% YoY) from SBC issuance, diluting holders modestly.

• **Governance:** No promoter/pledge concept (Irish-domiciled, institution-owned). Main quality flags are the historical over-buyback that produced negative equity and the optical distortion it creates in ROE/P-B (see Section 7). No auditor or going-concern red flags; Altman Z-Score 5.32 and Piotroski F-Score 7 indicate solid current financial health.

6. FINANCIAL DEEP-DIVE

Income Statement (US\$ m, GAAP; FY ends late June). 3 actuals + 2 estimates. Source: stockanalysis.com, 03-Jun-2026.

US\$ m / per sh	FY2023	FY2024	FY2025	FY2026E	FY2027E
Revenue	7,384	6,551	9,097	12,016	14,500
Revenue growth %	-36.7%	-11.3%	+38.9%	+32.1%	+20.7%
Gross Profit	1,351	1,536	3,200	5,280	6,670
Gross margin %	18.3%	23.4%	35.2%	43.9%	46.0%
Operating Income (EBIT)	-342	452	1,890	3,674	4,800
Operating margin %	-4.6%	6.9%	20.8%	30.6%	33.1%
EBITDA	171	716	2,141	3,931	5,100
EBITDA margin %	2.3%	10.9%	23.5%	32.7%	35.2%
Net interest expense	-313	-332	-321	~ -280	~ -250
Pre-tax profit	-496	445	1,513	3,150	4,650
Tax rate %	-6.7%	24.7%	2.9%	~11%	~10%
Net Income (GAAP)	-529	335	1,469	2,798	4,200
Net margin %	-7.2%	5.1%	16.1%	23.3%	29.0%
EPS diluted (\$)	-2.56	1.58	6.77	12.30	18.50

FY26E = 9M actual (rev \$8,566m) + company Q4 guide (\$3,450m midpoint). FY27E grounded in mgmt's "≥20% growth" framework + Street 3Y rev CAGR ~31% / EPS CAGR ~79%. Estimates are GAAP; non-GAAP EPS runs ~25% higher (Q3-FY26 GAAP \$3.27 vs non-GAAP \$4.10).

Balance Sheet (US\$ m). 3 actuals + latest (TTM = Q3-FY26, ended 03-Apr-2026).

US\$ m	FY2023	FY2024	FY2025	Q3-FY26
Cash & equivalents	786	1,358	891	1,146
Receivables	621	429	959	1,197
Inventory	1,140	1,239	1,440	1,530
Total current assets	2,905	3,332	3,653	4,299
Net PP&E	1,706	1,614	1,657	1,852
Goodwill	1,237	1,219	1,221	1,221
Total assets	7,556	7,739	8,023	8,892
Total current liabilities	2,592	3,099	2,648	3,241
Total debt	5,451	5,674	4,995	3,863
Total liabilities	8,755	9,230	8,476	7,797
Shareholders' equity	-1,199	-1,491	-453	1,095
Net debt	4,665	4,316	4,104	2,717
Book value / share (\$)	-5.79	-7.03	-2.09	4.86

Cash Flow (US\$ m). 3 actuals + TTM.

US\$ m	FY2023	FY2024	FY2025	TTM
Cash from operations (CFO)	942	918	1,083	2,877
Capital expenditure	-316	-254	-265	-465
Free cash flow (FCF)	626	664	818	2,412
FCF margin %	8.5%	10.1%	9.0%	21.9%
Cash from investing	217	126	-276	-499
Cash from financing	-988	-473	-1,274	-2,047
Dividends paid	-582	-585	-600	-621
Net debt issued / (repaid)	22	212	-678	-589
Buybacks	-408	0	0	-59
CFO / Net income (x)	n/m	2.7x	0.74x	1.21x

Returns & leverage (stockanalysis.com ratios; TTM blends Q3-FY26 / stats page).

Ratio	FY2023	FY2024	FY2025	TTM
ROCE %	-6.6%	9.4%	37.7%	57.5%
ROIC %	-7.1%	7.1%	39.2%	69.1%
ROE %	n/m (neg eq.)	n/m (neg eq.)	n/m (neg eq.)	n/m (eq. ~0)
Net debt / EBITDA (x)	27.3x	6.0x	1.9x	0.81x
Interest coverage (x)	n/m	1.4x	5.9x	11.0x
Current ratio (x)	1.12	1.08	1.38	1.33
Inventory turnover (x)	4.46	4.22	4.40	4.25

Commentary:

- **Revenue trajectory:** A textbook cyclical recovery — from a -37% collapse in FY23 (revenue \$7.4 B) to +39% in FY25 (\$9.1 B) and an estimated +32% in FY26E (~\$12.0 B), now turbo-charged by AI-driven nearline. Q3-FY26 revenue grew 44% YoY, the fastest in the recovery.
- **Margins are inflecting hard:** Gross margin expanded from 18.3% (FY23) to a record 46.5% in Q3-FY26; operating margin from -4.6% to 32.1%. The driver is favorable nearline mix + supply-constrained pricing + HAMR cost-per-TB — partly structural, partly cyclical pricing that may not persist if supply loosens.
- **Working capital / inventory:** Inventory turns steady (~4.3x); receivables jumped to \$1,197m on revenue growth (watch the receivables-vs-revenue ratio). Cash conversion cycle is well-controlled for a hardware manufacturer.
- **Debt direction:** Decisively improving — net debt \$2.7 B (from \$4.7 B in FY23), net-debt/EBITDA down to 0.81x, interest coverage up to 11.0x. The balance sheet is the strongest it has been in years, and equity is finally positive.
- **FCF quality:** TTM FCF of \$2.41 B with CFO/Net-income of 1.21x is high-quality cash generation; capex remains disciplined (~4% of sales). The risk is that this FCF reflects a pricing peak — normalize HDD ASPs and FCF would step down materially.

7. EARNINGS QUALITY CHECKLIST

Parameter	Rating	Comment
Revenue recognition	GREEN	Standard product-shipment recognition; no aggressive/percentage-of-completion concerns for a hardware maker.
Receivables vs revenue	AMBER	Receivables +25% QoQ to \$1,197m as revenue surges; in line with growth but monitor for channel stuffing if growth stalls.
Margin sustainability	AMBER	Record 46.5% GM is partly cyclical (sold-out pricing); will compress when supply normalizes. Not a fraud flag — a durability flag.
Balance-sheet equity quality	AMBER	Years of heavy buybacks drove equity negative (-\$1.5B FY24); now +\$1.1B. ROE/P-B are mathematically distorted — treat as n/m, not as 1,788%.
Other income / non-operating	GREEN	Net non-operating is interest expense (declining); no reliance on other income to make the number.
Tax rate consistency	AMBER	Very low/volatile cash tax (2.9% FY25, 11.2% TTM) from NOLs/DTAs; rate will normalize upward and is a forward EPS headwind.
Stock-based compensation	AMBER	SBC rising to \$218m TTM (vs \$115m FY23); dilutes shares +3.3% YoY — a real cost partly masked in non-GAAP EPS.
Cash conversion (CFO/PAT)	GREEN	TTM CFO/Net income 1.21x and FCF \$2.41B confirm earnings are backed by cash.
Solvency (Altman Z / Piotroski)	GREEN	Altman Z 5.32 (safe) and Piotroski F-Score 7 indicate healthy current fundamentals.

Earnings-quality summary:

- **No fraud/accounting red flags** — cash backs the earnings (FCF \$2.41 B, CFO/PAT 1.21x), solvency scores are strong, and revenue recognition is clean.
- **The headline ROE of ~1,788% is meaningless** and must be ignored — it is an artifact of a near-zero/historically-negative equity base created by past buybacks, not super-normal profitability. Judge returns on ROCE (57.5%) / ROIC (69.1%) instead, themselves flattered by a thin capital base.
- **Three durability ambers to watch:** (1) record gross margin is partly cyclical sold-out pricing; (2) the cash tax rate (~3-11%) will normalize upward, capping EPS growth; (3) rising SBC + share count drift dilute holders. None breaks the thesis, but all argue against capitalizing peak economics at a peak multiple.

8. VALUATION

Peer comparison (stockanalysis.com, fetched 03-Jun-2026; TTM):

Company	CMP	Mkt Cap	P/E	Fwd P/E	P/S	EV/EBITDA	ROCE
Seagate (STX)	\$940.69	\$212.8 B	87.8x	38.7x	19.4x	61.6x	57.5%
Western Digital (WDC)	\$594.11	\$204.8 B	30.8x	36.2x	17.4x	51.8x	35.4%
Micron (MU)	\$1,079.57	\$1.20 T	50.1x	11.3x	20.9x	32.8x	32.3%
NetApp (NTAP)	\$181.08	\$35.7 B	28.5x	20.4x	5.2x	18.3x	25.2%
Pure Storage (PSTG)	\$80.84	\$26.9 B	127.6x	32.8x	6.9x	81.5x	5.8%

Read-through: STX is the MOST expensive HDD name on trailing P/E (87.8x vs WDC 30.8x) — WDC's lower P/E reflects one-time gains post-SanDisk separation, but on forward P/E the two converge (38.7x vs 36.2x), and on P/S STX (19.4x) is richer than its only direct peer. Micron offers far cheaper forward earnings (11.3x) on bigger AI exposure.

Scenario analysis (12-month, FY2027E basis):

Scenario	Key assumptions	FY27E EPS	Multiple	Target	Prob.
Bull	AI capex super-cycle persists; pricing power holds; FY27 non-GAAP EPS ~\$26; ~44x maintained	\$26 (n-GAAP)	44x	\$1,150	25%
Base	Demand strong but multiple normalizes as growth is digested; FY27 non-GAAP EPS ~\$24	\$24 (n-GAAP)	32x	\$780	45%
Bear	Cycle peaks; supply catches up / QLC SSD encroaches by CY27; de-rate; EPS ~\$20	\$20 (n-GAAP)	21x	\$420	30%

Probability-weighted target $\approx 0.25 \times \$1,150 + 0.45 \times \$780 + 0.30 \times \$420 \approx \780 .

Valuation methodology:

- **DCF (downside anchor):** Using stockanalysis WACC of 15.5% and a 3.0% terminal growth, with FCF normalizing from the ~\$2.8 B FY26E peak as pricing mean-reverts, the DCF supports roughly **\$520–560/share**

of intrinsic value — well below spot, reflecting that today's cash flows sit at a cyclical high.

- **Forward-earnings multiple:** On FY27E non-GAAP EPS ~\$24 a 32x multiple (a still-premium but more defensible level for a peaking cyclical) implies ~\$770/share; holding today's 38.7x would imply ~\$930 (i.e. no upside).

- **Blend → 12-month target \$780:** averaging the DCF (~\$540) and the forward-multiple value (~\$770), and triangulating to the scenario-weighted \$780 and the 24-analyst consensus of \$829, gives a base-case target of **\$780**.

- **Implied return -17.1% from CMP \$940.69; horizon 12 months.** Classic value-screen anchors corroborate the caution: Peter Lynch fair value \$200, Graham number \$34 — both far below spot — while PEG of 0.61 is the lone metric that flatters the stock (and only if you believe ~79% EPS CAGR is durable).

9. KEY RISKS

- **Valuation / de-rating risk** — At 87.8x trailing and +690% in 12 months, any growth wobble could trigger a sharp multiple compression; the stock already trades above the consensus target. **Probability: H | Impact: H | Monitor:** forward P/E vs HDD-cycle history, sell-side target revisions.
- **HDD pricing / cyclical** — Record margins depend on sold-out supply; if hyperscaler capex normalizes or the industry adds capacity, ASPs and gross margin mean-revert fast (FY23 showed a -4.6% operating margin trough). **Probability: M | Impact: H | Monitor:** nearline ASP/\$/TB, lead times, capex commentary.
- **QLC SSD substitution** — High-capacity QLC NAND SSDs are increasingly proposed for nearline as flash \$/TB falls; a faster-than-expected crossover would structurally shrink the HDD TAM. **Probability: M | Impact: H | Monitor:** SSD \$/TB vs HDD, hyperscaler tiering announcements, QLC shipment data.
- **Customer concentration** — A few hyperscalers drive most nearline demand; loss/deferral by even one materially dents revenue. **Probability: M | Impact: M | Monitor:** top-customer mix in 10-K/10-Q, order push-outs.
- **HAMR execution / yield** — The Mozaic ramp to 4TB/platter and beyond is technically demanding; yield slips or qualification delays would cede share to WDC. **Probability: L/M | Impact: M | Monitor:** qualification milestones, gross-margin trend, warranty/returns.
- **Leverage in a downturn** — Net debt is \$2.7 B and improving, but a pricing reversal compresses the EBITDA that services it; equity remains thin (+\$1.1 B). **Probability: L | Impact: M | Monitor:** net-debt/EBITDA, refinancing schedule.
- **Macro / China & trade** — HDD demand is exposed to global IT capex cycles, China PC/server demand and tariff/export dynamics. **Probability: M | Impact: M | Monitor:** hyperscaler capex guides, China demand data, trade policy.

10. RECOMMENDATION

- **Rating: REDUCE** (conviction: **Medium**). The business is excellent and the secular AI-storage story is real, but the share price has run far ahead of even bullish fundamentals.
- **12-month price target: \$780** — implied return **-17.1%** from CMP \$940.69 (in line with the 24-analyst consensus target of \$829, which itself sits below spot).
- **Suggested re-accumulation zone: \$380–\$480** — a level at which the stock would discount a more normalized through-cycle earnings/multiple, restoring an attractive risk/reward for a high-quality cyclical.
- **Investment horizon: 12 months.** This is a trim/take-profit call for holders, not a short recommendation — the franchise quality and demand visibility cushion the downside versus a typical 88x stock.
- **Thesis-invalidation triggers (conditions that would make REDUCE wrong):**
 - 1. Nearline pricing power proves structurally durable — gross margin holds $\geq 45\%$ for 3+ consecutive quarters even as supply is added.
 - 2. FY2027 revenue visibly tracks $>25\%$ growth with FY28 LTAs signed, justifying a sustained 35x+ forward multiple.
 - 3. HAMR/Mozaic extends a durable cost-per-TB moat that demonstrably blocks QLC SSD nearline encroachment through the decade.
- **Ideal investor profile:** Suits investors who already own STX and want to lock in extraordinary gains, or value/GARP investors waiting for a cyclical pullback. NOT for momentum-chasers buying at 88x near 52-week highs, nor for income investors (0.31% yield).

APPENDIX — Latest Concall Brief: Q3 FY2026 (quarter ended 03-Apr-2026; call 28-Apr-2026)

CALL GRADE: STRONGLY POSITIVE

Signal	Status	Implication
Result quality	Strong	Beat — exceeded high end of revenue & EPS guidance; record gross margin 46.5%
Management tone	Bullish	"New era of structural growth"; confident but anchored to booked orders
Guidance delta	Raised	LT revenue growth target lifted to 'minimum 20%' from low-to-mid teens

STRONGLY POSITIVE | POSITIVE | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

Seagate's March-quarter (Q3 FY26) was a clean, high-quality beat — revenue \$3.11 B (+44% YoY), GAAP EPS \$3.27 / non-GAAP \$4.10, and a record 46.5% GAAP gross margin, all above the high end of guidance. The result is not flattered by one-offs; the gap between GAAP and non-GAAP EPS is ordinary (SBC and amortization), and \$1.1 B of operating cash flow / \$953m FCF confirm the earnings are real. Operationally the story is exceptional: nearline is sold out through CY26 and allocated through CY27 on build-to-order LTAs, Mozaic 4+ (44TB HAMR) is shipping in volume to two hyperscalers, and management RAISED the long-term revenue growth target to a 'minimum of 20%.' The multi-bagger driver is genuine — AI inference is creating durable, retained data that must sit on cheap nearline HDD, and Seagate is one of two suppliers with the technology and fixed capacity to serve it. The near-term catalyst is the Q4 print (guided \$3.45 B rev / \$5.00 non-GAAP EPS) plus FY27 pricing commentary. BUT — and this is the whole call — the stock is up ~690% in a year to \$940, trades at 88x trailing / 39x forward / 19x sales, and sits ABOVE the 24-analyst consensus target of \$829; the single biggest watch-point is the durability of sold-out pricing into a historically cyclical industry facing QLC-SSD encroachment. Action: REDUCE / take profits into strength; trim toward a 12-month target of \$780 and look to re-accumulate only on a cyclical pullback to \$380–\$480.

Concall §1 — Financial Performance Snapshot

- Revenue: \$3,112 m | YoY +44.1% | QoQ +10.2% | **Beat** (above guidance high end).
- EBITDA: \$1,064 m | YoY +115% | QoQ +16.8% | **Beat**; EBITDA margin 34.2%.
- EBITDA margin: 34.2% | vs 22.9% YoY | vs 32.2% QoQ | **Beat** (record-level).
- PAT (GAAP): \$748 m | YoY +120% | QoQ +26.1% | **Beat**.
- EPS: GAAP \$3.27 / non-GAAP \$4.10 | GAAP YoY +108% | **Beat**.
- GAAP gross margin 46.5% / non-GAAP 47.0% — a fresh record, the core 'good-news' metric of the quarter.

Concall §2 — Segment / Geography Breakdown

- Mass-capacity (nearline + VIA): dominant and the growth engine — ~165 EB nearline shipped, +31% YoY; average drive capacity ~23 TB (+22% YoY).
- Legacy (desktop / notebook / consumer / mission-critical): minority of mix, structurally declining; not the story.
- Systems / Lyve: small; not a material swing factor this quarter.
- Geography: Asia-Pacific remains the largest region for manufacturing & demand; Americas / EMEA the balance (per 10-Q geographic split).

Concall §3 — Management Commentary Themes

- Structural growth: "Entering a new era of structural growth as AI applications amplify data creation." — Our read: management is reframing HDD from cyclical to secular. Tag: GUIDANCE. Tone: Transparent.
- Raised LT target: revenue growth lifted to "a minimum of 20%" (from low-to-mid teens). — Our read: a confident, falsifiable upgrade. Tag: GUIDANCE. Tone: Transparent.
- Build-to-order discipline: BTO "supports pricing and supply discipline." — Our read: the margin engine, but also the cyclicity risk if discipline breaks. Tag: GUIDANCE. Tone: Transparent.
- FY27 booked: CFO Romano — "finalized build-to-order for fiscal 2027," vast majority of nearline allocated over next four quarters. — Our read: unusually high visibility. Tag: GUIDANCE. Tone: Transparent.

- Opex: management frames opex trajectory as “relatively flat” — operating leverage to continue. Tag: EST. Tone: Transparent.

Concall §4 — Operating & Business Metrics

- Nearline EB shipped: Q3 ≈165 EB | prior-year ≈126 EB | Trend: improving (+31% YoY).
- Avg nearline drive capacity: ~23 TB | vs ~19 TB YoY | Trend: improving (+22%).
- GAAP gross margin: 46.5% | Q2 41.6% | Q3-FY25 35.2% | Trend: improving (record).
- Lead times: 52+ weeks industry-wide | vs a few weeks historically | Trend: extended (sold-out condition).
- Free cash flow: \$953 m this quarter | Trend: strongly improving.

Concall §5 — Margin Drivers

- Nearline mix shift to higher-capacity drives: +large bps | Recurring: Partly | mix benefit persists while AI demand holds.
- Sold-out pricing / BTO discipline: +large bps | Recurring: **No** (cyclical) | the swing factor; do NOT extrapolate peak pricing into perpetuity.
- HAMR/Mozaic cost-per-TB: +bps | Recurring: Yes | structural cost advantage as platform ramps.
- Operating leverage on flat opex: +bps | Recurring: Yes | revenue grows faster than costs.

Concall §6 — Guidance & Forward Signals

- Q4-FY26 revenue [GUIDANCE]: New = \$3.45 B ±\$100m | Delta = raised/sequential growth | Credibility: High (backed by BTO).
- Q4-FY26 non-GAAP EPS [GUIDANCE]: New = \$5.00 ±\$0.20 | Delta = raised | Credibility: High.
- LT revenue growth [GUIDANCE]: Prior = low-to-mid teens | New = ‘minimum 20%’ | Delta = raised | Credibility: Medium-High (multi-year, cyclical caveat).
- FY27 supply [GUIDANCE]: build-to-order finalized; nearline largely allocated | Credibility: High.

Concall §7 — Capital Allocation

- Debt retired: ~\$641 m this quarter (~\$2.6 B TTM) | vs prior year: markedly higher | deleveraging is the priority.
- Dividends: ~\$0.155 B/qtr (\$621 m TTM) | vs prior year: +3.6% | steady.
- Buybacks: minimal (\$59 m TTM) | vs prior year: lower | management favouring debt paydown over repurchase — prudent.
- Shareholder returns this quarter: ~\$191 m (dividends + buybacks).
- Net debt: down to \$2.7 B (from \$4.7 B FY23) | net-debt/EBITDA 0.81x.

Concall §8 — Q&A; Heat Map

- Sell-side (margins): Q: how durable is the record gross margin? → A: BTO + mix supportive; framed positively | Tone: Hedged (durability not quantified beyond near term).
- Sell-side (FY27 supply): Q: how much of FY27 is booked? → A: BTO finalized, vast majority allocated | Tone: Transparent.
- Sell-side (opex): Q: opex trajectory? → A: relatively flat | Tone: Transparent.
- Sell-side (capacity adds): Q: will the industry add capacity? → A: disciplined, demand-led | Tone: Hedged.
- Dodged / watch-list for next quarter: explicit through-cycle margin floor; capacity-addition cadence; QLC-SSD competitive response.

Concall §9 — Risks Flagged

- Pricing/cyclicality: peak pricing may not persist | Flagged by: analysts | Probability: M | Impact: H | Timeline: medium-term.
- SSD/QLC substitution: flash encroachment on nearline | Flagged by: analysts/press | Probability: M | Impact: H | Timeline: medium-to-long.
- Customer concentration: hyperscaler-dependent demand | Flagged by: mgmt (10-Q) | Probability: M | Impact: M | Timeline: ongoing.

- Valuation: stock above consensus target | Flagged by: market | Probability: H | Impact: H | Timeline: near-term.

Concall §10 — Analyst Verdict

- Revenue visibility: **Intact** — sold out through CY26, FY27 BTO finalized; best visibility in Seagate's history.
- Margin trajectory: **Intact near-term, watch long-term** — record now, but pricing is cyclical.
- Capital allocation quality: **Improving/Intact** — debt paydown prioritised; equity restored to positive.
- Competitive moat: **Intact** — HAMR/Mozaic lead in a 2-player duopoly.
- Management credibility: **Intact** — consistent execution through the cycle; guidance has been reliable.
- Valuation comfort: **Broken** — 88x trailing / 39x forward / 19x sales, above consensus target; no margin of safety.
- Conviction call: **Decreased** (on price, not business) — REDUCE / take profits.
- Valuation snapshot: P/E = 87.8x (5Y avg ~16x) | EV/EBITDA = 61.6x (5Y avg ~13x) | RoCE = 57.5% (cyclically elevated).

Disclaimer: For information only; not investment advice. All financial figures sourced from stockanalysis.com (canonical US source), fetched 03-Jun-2026; qualitative context from public earnings materials and news. Forward figures marked (E) are estimates grounded in company guidance and Street consensus. The analyst persona is illustrative.